

Beacon Plaza — Investment / Sales Offering Memorandum

Office asset, Charlotte, NC | Analysis date 2026-08-31 | Original fictional evaluation material; no real transaction

Executive Summary

Source-backed analysis. Assumptions remain subject to diligence.

Beacon Plaza is a 12-suite, 66,360 SF office asset in Charlotte, NC. The property manager's certified rent roll dated 2026-08-31 controls physical occupancy: nine suites (49,770 SF) are in active possession, one suite (010, 5,380 SF) is signed but pending possession, and two suites (011 and 012) are vacant. Physical occupancy is therefore 75.00% by unit count and 75.00% by area, not the 10-of-12 (83.3%) 'leased' headline in the manager cover note, which counts the pending occupant that has not taken possession.

Underwritten per the acquisition analysis instructions on all-suite scheduled rent of \$1,618,800 (12 suites x contractual monthly rent x 12) less a 5% economic loss, plus \$350 per suite of other income, effective gross income is \$1,542,060. After taxes of \$169,974, insurance of \$56,658, other recurring expenses of \$226,632 and a 3% management fee, underwritten NOI before reserves is \$1,042,534 and net cash flow after \$300 per suite of replacement reserves is \$1,038,934. Capitalized at 7.5000%, the indicated value is \$13,900,456.

Debt sizing at a 6.7500% sizing rate (the greater of the 6.7500% note rate and the 6.00% floor) over a 30-year amortization produces a maximum loan of \$8,340,274, bound by the 60.00% LTV test. After the 1% origination fee (\$83,403), \$45,000 of closing costs and the \$6,500,000 existing payoff, net cash-out to the sponsor is approximately \$1,711,871. No asking price, photographs, market sales or rent comparables, or sponsor track record are supplied in the packet, and none have been assumed or created.

Property Overview

Facts below are drawn solely from the supplied packet. No address, photograph or physical description beyond the roll data is available.

Item	Value	Source
Property name	Beacon Plaza	manager-cover.pdf p.1
Market	Charlotte, NC	manager-cover.pdf p.1
Asset type	Office	manager-cover.pdf p.1
Total suites	12	rent-roll-certified.xlsx Rent Roll A5:A16
Total area	66,360 SF	rent-roll-certified.xlsx Rent Roll C5:C16
Roll as-of date used	2026-08-31	rent-roll-certified.xlsx Rent Roll B2

Item	Value	Source
Insurance in force	GL aggregate \$2,000,000; 2026-07-01 to 2027-06-30	insurance.pdf p.1
Asking price / photos / comps / sponsor history	Not supplied — unknown	underwriting-instructions.pdf p.1

Suite Mix and Group Detail

The manager's group mapping is A = Small suite, B = Standard suite, C = Large suite (manager-cover.pdf p.1). Occupancy below counts only suites in active possession.

Group	Suite type	Suites	Occupied (active)	Area SF	Monthly rent per suite
A	Small suite	4	3	21,520	\$11,050
B	Standard suite	4	3	22,000	\$11,200
C	Large suite	4	3	22,840	\$11,475
Total		12	9	66,360	\$133,500 (all suites)

Lease and Occupancy Analysis

Suite 001 is supported by an executed lease excerpt: monthly base rent \$11,050, expiration 2027-02-28, 5,380 SF, \$22,100 security deposit, and no free-rent concession as of the evaluation date (lease-001.pdf p.1). This matches the certified roll exactly. Manager correspondence dated August 31, 2026 confirms no amendments and no new rent concessions affect Suite 001 (lease-correspondence.pdf p.1). No unsigned rent proposal is contained in the packet, so no unsigned rent change is pending; the certified rent for Suite 001 is treated as final.

A stale rent roll dated 2026-06-30 is also included and shows lower rents (for example Suite 001 at \$10,975). It is superseded by the 2026-08-31 certified roll and by the executed lease; the conflict is fully resolved in favor of the contemporaneous documents rather than left open.

Rollover is concentrated in one suite: Suite 001 expires 2027-02-28, within twelve months of the 2026-08-31 analysis date, representing 5,380 SF (8.1% of area) and \$132,600 of annual in-place rent (10.9%). All other active suites expire 2029-08-31, beyond the near-term horizon defined in the instructions.

Measure	Value	Basis
Occupied units (active possession)	9	rent-roll-certified.xlsx D5:D16
Pending units (not in possession)	1 (Suite 010)	rent-roll-certified.xlsx D14, G14

Measure	Value	Basis
Vacant units	2 (Suites 011, 012)	rent-roll-certified.xlsx D15:D16
Unit occupancy	0.7500	9 / 12
Area occupancy	0.7500	49,770 / 66,360 SF
Annual in-place rent (active suites)	\$1,214,100	3 x (\$11,050+\$11,200+\$11,475) x 12
All-suite scheduled annual rent (GPR)	\$1,618,800	\$133,500 x 12
Manager headline occupancy	10 of 12 leased (0.8333)	manager-cover.pdf p.1 — includes pending

Historical versus Underwritten Financials

The trailing twelve months ended 2026-08-31 is a cash statement of collections, not an annualized rent roll. Reported NOI of \$1,003,656 reconciles to collections of \$1,456,920 less taxes, insurance and other recurring expenses. The roof replacement is a capital item and is reported at \$0 within repairs, so no reclassification out of operating expenses is required. The T12 statement does not separately report a management fee or replacement reserves; those amounts are unknown historically, not zero.

Underwritten EGI exceeds T12 collections because the prescribed stabilized gross potential applies scheduled rent for all twelve suites (including the pending and vacant suites) with a single 5% economic loss factor, while the T12 reflects actual physical vacancy. Reimbursement income is already embedded in the scheduled rent and other income and has not been added twice.

Line	T12 actual (2025-09-01 to 2026-08-31)	Underwritten
Collections / effective gross income	\$1,456,920	\$1,542,060
Real estate taxes	\$169,974	\$169,974
Insurance	\$56,658	\$56,658
Other recurring operating expenses	\$226,632	\$226,632
Roof replacement in repairs	\$0 (capital)	\$0
Management fee (3% of EGI)	Not reported — unknown	\$46,262
Total operating expenses	\$453,264	\$499,526
NOI before reserves	\$1,003,656 (reported)	\$1,042,534
Replacement reserves (\$300/suite)	Not reported — unknown	\$3,600
Net cash flow after reserves	Not reported — unknown	\$1,038,934

Valuation, Debt Sizing and Sources / Uses

NOI before reserves is capitalized at 7.5000%, producing an indicated value of \$13,900,456. This is an income-approach indication only; no market sales comparables are supplied. Sizing tests use net cash flow after reserves for DSCR and debt yield, per instruction, with a 6.7500% sizing rate — the greater of the note rate and the 6.00% underwriting floor — and a 30-year monthly amortization, notwithstanding the 24 months of interest-only.

The LTV test is binding at \$8,340,274. At that amount the implied DSCR on underwritten NCF is approximately 1.60x and the NCF debt yield is approximately 12.46%, so the loan carries meaningful cushion to the DSCR and debt-yield minimums. Net proceeds after fees and payoff are positive, so no refinance shortfall or additional equity contribution is indicated on these assumptions.

Test / Item	Amount	Notes
Capitalized value	\$13,900,456	\$1,042,534 / 7.5000%
LTV limit (60.00%)	\$8,340,274	Binding constraint
DSCR limit (1.25x, 6.7500%, 30-yr)	\$10,678,767	Non-binding
Debt yield limit (9% of NCF)	\$11,543,713	Non-binding
Maximum loan	\$8,340,274	Minimum of the three tests
Use: existing loan payoff	\$6,500,000	underwriting-instructions.pdf p.1
Use: origination fee (1%)	\$83,403	1% of sized loan
Use: closing costs	\$45,000	underwriting-instructions.pdf p.1
Total uses	\$6,628,403	
Net cash-out to sponsor	\$1,711,871	Positive; no additional equity required

Risks and Missing Diligence

Occupancy presentation: the manager's 10-of-12 headline includes Suite 010, which has not taken possession. This overstates physical occupancy by 8.3 percentage points; the certified detail governs and has been used here.

Near-term rollover: Suite 001 (5,380 SF, \$132,600 annual rent) expires 2027-02-28, inside the twelve-month window. Renewal terms, tenant credit and downtime assumptions are not supplied.

Lease-up dependency: the prescribed underwriting applies a 5% economic loss to all-suite scheduled rent while 25% of the area is not in active possession. Underwritten NOI is therefore stabilized and above the trailing actual; achieving it requires possession by Suite 010 and lease-up of Suites 011 and 012 at roll rents. Sensitivity to this gap is not covered by the 5% loss factor alone.

Capital expenditure: the roof replacement is identified as capital and reported at \$0 in repairs, so the historical ledger classification is clean; however no property condition report is available to confirm remaining capital needs or reserve adequacy at \$300 per suite.

Insurance: a general liability declaration is in force through 2027-06-30 with a \$2,000,000 aggregate limit. Property, casualty and business-interruption coverage terms, deductibles and lender-required limits are not in the packet.

Incomplete routine diligence: legal, environmental, property condition and title reviews are not complete (diligence-status.pdf p.1). No contamination, litigation, fraud or structural finding is asserted or implied.

Not supplied and explicitly unknown: asking price, photographs, market sales and rent comparables, sponsor history, tenant financial statements, monthly T12 detail, historical management fee and reserve lines, loan maturity/interest-only mechanics beyond the stated 24 months, and rent-roll security deposits other than Suite 001.

Source Notes

All figures derive solely from the nine documents supplied. Where two documents conflict, the contemporaneous certified or executed document dated on or about 2026-08-31 controls and the conflict is disclosed.

Document	Location	Use
rent-roll-certified.xlsx	Rent Roll A2:G16	Controlling roll: suites, area, possession, rents, expirations
rent-roll-archive.xlsx	Rent Roll A2:G16	Stale 2026-06-30 roll; superseded, not used
lease-001.pdf	p.1	Suite 001 executed terms; no free rent
lease-correspondence.pdf	p.1	No amendments or concessions affecting Suite 001
operating-statement.pdf	p.1	T12 collections, expenses, reported NOI, roof treatment
insurance.pdf	p.1	GL aggregate limit and policy period
underwriting-instructions.pdf	p.1	Underwriting, capitalization, sizing, sources/uses
manager-cover.pdf	p.1	Headline occupancy, A/B/C group mapping, control language
diligence-status.pdf	p.1	Status of routine third-party diligence